

PRIMARY CONSUMER SURVEY + SECONDARY MARKET INTELLIGENCE + GO-TO-MARKET BLUEPRINT

WINNING THE NEXT 100 MILLION

*A Consolidated Consumer Research, Market Strategy & Financial Roadmap for Tier-2 & Tier-3 India
Market Dominance in Beauty & Personal Care*

NOVA CONSUMER

Prepared for: Learnous Case Study Challenge - Season 7

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The Strategic Imperative

₹9,000–11,000
Cr

Tier-2/3 TAM

₹2,500–3,500 Cr

Year-5 Revenue Target

95–100M

Cumulative Customers

₹240 Cr

5-Year Investment

The correction to conventional wisdom: Tier-2 India (84.3% e-commerce usage) is not digitally immature; it mirrors metro behaviour. Tier-3 is already exposed to beauty and skincare via retail and word-of-mouth and is equally expansion-ready. Quality (4.44/5) and price (3.84/5), not brand prestige or influencer marketing, are the deciding factors for the next 100 million customers.

RECOMMENDATION

Proceed with phased Tier-2/3 expansion - recalibrating channel mix around what consumers actually told us, not metro assumptions.

THREE INTERCONNECTED PROBLEMS

Metro Market Saturation

Digital CAC up 40% in two years; metro ceiling ₹200-250 Cr revenue.

Broken Retention Cycle

Only 30-50% repeat-purchase; a 20-pt gain alone is worth ₹500-1,000 Cr.

Geographic Blind Spot

D2C, brand-led model was built for metro shoppers - not Tier-2/3 reality.

TAM → SAM → SOM: A ₹9,000+ Cr Runway

TAM

₹9,000–11,000 Cr

Female pop. 16-35, Tier-2/3 India (180-200M) × ₹800–1,200 BPC spend/capita

SAM

₹5,000–6,500 Cr

Digitally reachable & distribution-accessible: 55-65% smartphone+UPI penetration

SOM

₹1,500–2,100 Cr

Nova's realistic 5-yr capture: 20-25% share via franchise + digital network

TIER SPLIT OF TAM

Tier-2 65-70% · ₹6,000-7,500 Cr

Tier-3 30-35% · ₹3,000-3,800 Cr



7–10%

CAGR, 2026-2030 (IMARC, BCG)

BCG projects Tier-2/3 cities will drive 45% of India's GDP growth through 2025-26, the primary engine of category growth.



84.3% of Tier-2 respondents already use e-commerce apps for BPC purchases on par with metro consumers, and evidence the "digitally immature Tier-2" assumption is outdated.

Both Tiers Are Ready - the Channel Mix Differs

Our 70-respondent survey shows both tiers are already exposed to beauty and skincare - Tier-2 digitally, Tier-3 via retail and word-of-mouth. Both are ready for expansion; only the channel mix differs.



TIER-2 · Digitally-Converged

- 84.3% use e-commerce apps for BPC - near-parity with metro
- 43.1% already use quick-commerce (Blinkit, Zepto, Instamart)
- Discovery led by social media & peer recommendations
- Price sensitivity closer to metro norms; brand still matters



TIER-3 · Retail & Community-Exposed

- Price importance rises to 3.95/5 - highest of any segment
- Supermarkets (36.8%) & local beauty stores (15.8%) dominate over quick-commerce (26.3%)
- Word-of-mouth (21.1%) and even TV (10.5%) still carry real weight
- Established category exposure - expansion-ready, not a new category

GTM implication: Tier-2 → e-commerce + quick-commerce led, EBOs for visibility. Tier-3 → franchise/GT/kirana-led, with e-commerce as an active parallel channel, not just fulfilment.

Distribution Is the Marketing Channel

Beyond loyalty tiers and influencer spend: four low-CAC mechanisms built on channels and trust that already exist in Tier-2/3 India, rather than metro-style app engagement transplanted downward.



DIGITAL: WHATSAPP-LED GROWTH

- WhatsApp reorder bot pings on each product's own usage cycle, not a blanket push
- In-chat referral codes turn the 57% already-daily users into a zero-CAC channel
- Retires app-only loyalty tiers that assume a download Tier-2/3 shoppers won't make
- Directly attacks the ₹500-1,000 Cr retention prize (Slide 2) at near-zero marginal cost



PHYSICAL: STORE-OWNER LED TRUST

- Kirana & pharmacy owners earn a commission per repeat customer they refer
- Refill/dispenser counters let price-sensitive buyers pay for product, not packaging
- Franchisee POS data feeds predictive restocking, replacing fixed reorder cycles
- Redirects influencer spend (lowest-rated driver, 2.31/5) into local-trust economics

Why this beats the standard playbook: Both mechanisms cost a fraction of paid CAC, run on trust that already exists locally, and turn retention, distribution, and influencer inefficiency into one integrated system.

On-Ground Retail Visits Confirm the Demand

Live pharmacy & store visits in one Tier-2 and one Tier-3 town confirm what the survey found: both tiers actively stock, sell, and restock beauty/skincare at pace.



TIER-2 Anupuram

- Classified Tier-2 on consumer profile - Navy & Atomic Power Plant quarters drive a highly educated base
- ₹5,000 average daily skincare/cosmetics sales; restocked every 2-3 days
- **Top brands:** Minimalist, Simple, Cetaphil, Pilgrim, Neutrogena, La Shield, Mamaearth, The Derma Co
- **Best-sellers:** serums and sunscreens



TIER-3 Kariyacheri

- Tier-3 town, Chengalpattu district, Tamil Nadu
- ₹3,000+ average daily sales; restocked every 2-4 days
- **Top brands:** Lakmé, Himalaya, Everyuth, Pond's
- **Best-sellers:** facewashes, daily beauty products, skincare creams

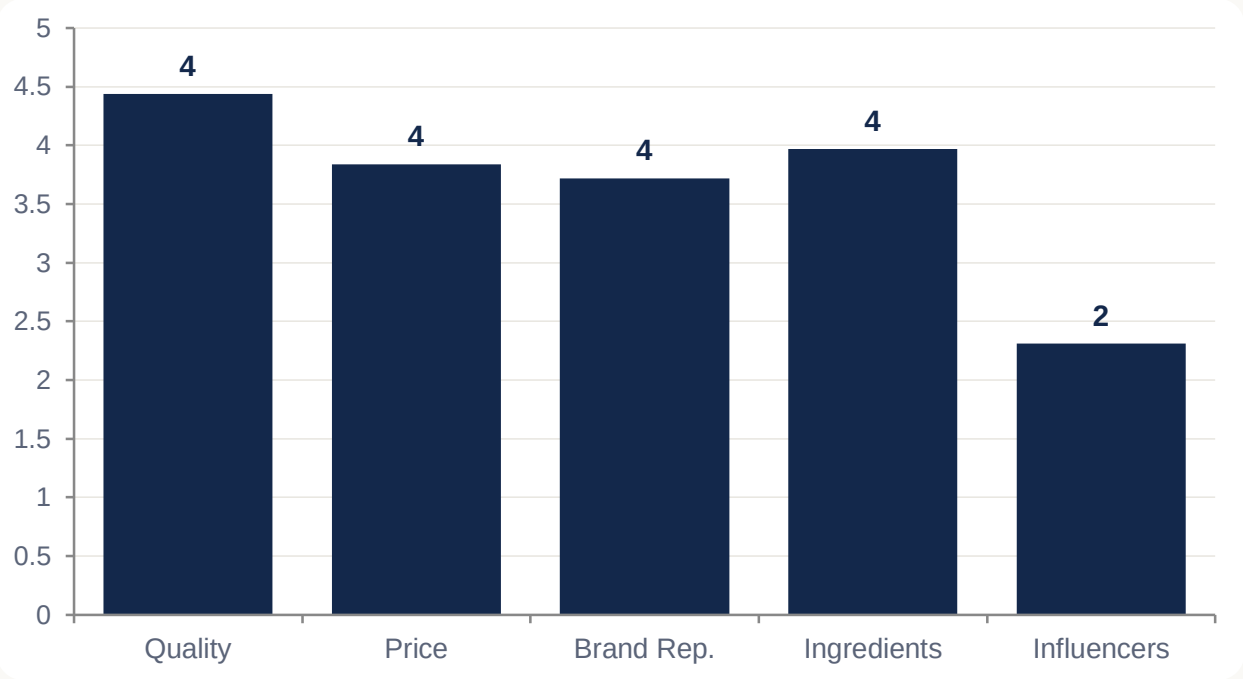


Field takeaway: Both towns show consistent daily sell-through and frequent restocking of the same categories the survey flagged - direct retail confirmation that Tier-2 and Tier-3 both demand these products today, not just in projection.

Survey basis: All quantitative assumptions in this deck rest on our primary Google Forms survey, deliberately sampled across dissimilar cities and respondent profiles to avoid bias.

Link : https://1drv.ms/x/c/59906220dd03caa4/IQBrZcPCNUUrT7I_SGbjK-7FASpyeurHgEaTlnABX710CCY?e=zv2if

What Drives the Purchase — Quality & Price, Not Influence



Average importance score, overall sample (n=70)

Influencer suggestions score 2.31/5 - the lowest factor. The winning pitch is visible efficacy at a fair price, not celebrity marketing.

PRICE ARCHITECTURE

₹100-₹200	10.0%
Trial / sachet SKUs	
₹250-₹500	52.9%
Core volume driver	
₹500-₹1,000	44.3%
Core / upgrade tier	
₹1,000+	18.6%
Premium upsell (Persona 3)	

“Nova Daily Ritual Starter Kit”

Moisturizer + Sunscreen + Lip Care, bundled at ₹399-₹599

Three Personas Emerge From the Data



The Digital-First Daily Ritualist

40-45% of sample

PROFILE

Tier-2, age 20-30, ₹60K-1L HH income, daily user

CHANNEL & DISCOVERY

E-commerce + quick-commerce; discovers via social media

NOVA'S PLAY

Quick-commerce listings, ingredient storytelling, replenishment nudges



The Retail-Ready Value Buyer

10-15% of sample

PROFILE

Tier-3, already using category weekly-to-daily, most price-sensitive (3.95/5)

CHANNEL & DISCOVERY

Supermarkets, local stores; word-of-mouth + TV

NOVA'S PLAY

Franchise/EBO visibility, value bundles, local-store endorsement



The Aspirational Professional

8-12% of sample

PROFILE

Age 25-35, HH income ₹1L+, daily user, broad basket

CHANNEL & DISCOVERY

E-commerce + exclusive brand outlets; cross-channel comfort

NOVA'S PLAY

Premium sub-line upsell, loyalty tiers, serum/eye-care cross-sell

The Three-Pillar Expansion Strategy

01



Retention Foundation

Metro Markets • Months 0-6

- Fix 30-50% repeat-purchase gap
- WhatsApp reorder bot on per-product usage cycles
- Kirana/pharmacist referral-commission pilot (50 stores)

INVEST: ₹60-80 Lakhs

02



Tier-2 Digital-Led

Months 3-12

- Marketplace + quick-commerce listings
- Hero SKUs at ₹250-₹500 entry price
- Franchisee POS feed drives predictive restocking, not fixed cycles

INVEST: ₹1.5-2 Cr (pilot)

03



Tier-3 Retail-Led

Months 8-20

- GT/kirana penetration via super-stockists
- Refill/dispenser counters at top 200 stores
- Regional-language content & packaging

INVEST: Phased, from Month 8

RECALIBRATED ACQUISITION CHANNEL MIX

35% E-commerce & QC

35% In-Store & Franchise

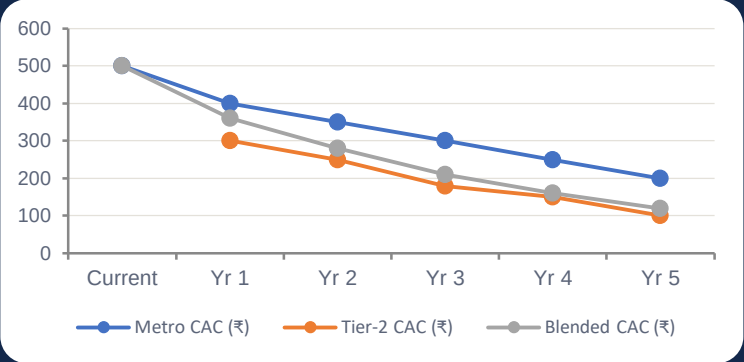
20% Local/Vernacular Content

10% WhatsApp & Referral Growth

CAC Compression Funds a Year 3-4 Breakeven

UNIT ECONOMICS

CAC Falls as the Franchise Network Matures



₹500 → ₹120 blended CAC: a 76% reduction over 5 years via franchise + community leverage

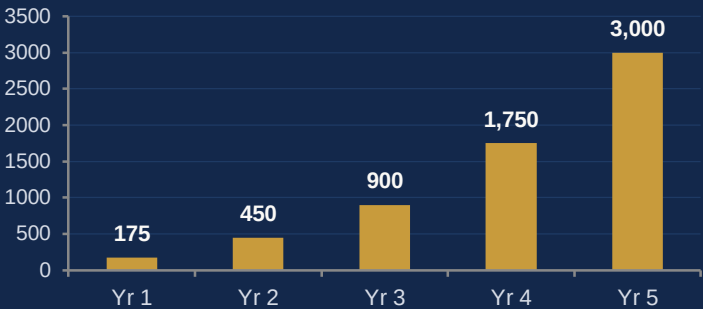
LTV / CAC PROGRESSION

Year	CAC	LTV	Ratio
Current	₹500	₹2,500-3,000	5-6x
Year 1	₹360	₹3,500-4,200	7-9x
Year 3	₹210	₹4,500-5,500	10-13x
Year 5	₹120	₹5,000-7,000+	10-14x

5% retention gain on a 100M base = ₹500-1,000 Cr incremental revenue. The WhatsApp reorder bot and kirana referral commissions (see Innovation slide) are what push blended CAC below the ₹120 shown here.

FINANCIAL ROADMAP

5-Year Revenue & Breakeven Trajectory



Cumulative revenue, ₹ Cr (band midpoints; see appendix for ranges)

BREAKEVEN

Year 3-4

YEAR-5 ANNUAL PROFIT

₹500-700 Cr

CITIES ACTIVE (YR 5)

350-400

FRANCHISEES (YR 5)

2,000-2,500

₹240 Cr TOTAL INVESTMENT

Franchise & Training ₹38-45 Cr · Retention & Marketing ₹75-90 Cr · Team & Org. Build ₹55-70 Cr · Tech & Distribution centers balance

The Ask & Decision Framework

Nova has proven metro brand-building; the metro-only strategy has reached its ceiling. Tier-2/3 offers ₹9,000-11,000 Cr in addressable consumption, growing 7-10% annually, won on quality and fair pricing, not celebrity marketing.

THE ASK

- ✓ Fund Phase 1 (Months 0-6): ₹50 Cr - metro retention repair + Tier-2 pilot recruitment
- ✓ Commission a larger confirmatory survey (n≥1,000) in parallel to size the opportunity precisely across both tiers
- ✓ Pilot the WhatsApp reorder bot and kirana referral-commission model alongside Phase 1
- ✓ Invest ₹40-50 Cr in technology infrastructure for scale
- ✓ Commit to a 3-4 year breakeven timeline over short-term gains

GO / NO-GO DECISION CHECKPOINTS

Month 6	Repeat rate ≥40%, franchisee avg ₹2L sales
Month 12	15+ franchisees, CAC ≤₹350, ₹5 Cr Tier-2 revenue
Month 18	40-50 franchisees, ₹15-20 Cr run-rate
Month 36	500+ franchisees, ₹500+ Cr Tier-2 revenue

PROJECTED YEAR-5 OUTCOME: 2,000+ franchisees · 350-400 cities · 95-100M customers · ₹2,500-3,500 Cr annual revenue